

ServiceNow Inc. (NOW)

\$99.41 (Stock Price as of 03/27/2026)

Price Target (6-12 Months): **\$126.00**

Long Term: 6-12 Months	Zacks Recommendation:	Neutral
	(Since: 11/11/25)	
	Prior Recommendation: Outperform	
Short Term: 1-3 Months	Zacks Rank: (1-5)	3-Hold
	Zacks Style Scores:	VGM: B
	Value: D	Growth: A
		Momentum: B

Summary

ServiceNow has been benefiting from the rising adoption of workflows by enterprises undergoing digital transformation. ServiceNow's expanding partner base and acquisitions is noteworthy. NOW is extensively leveraging AI and machine learning technologies to boost the potency of its solutions. NOW's expanding partner base and acquisitions are a plus. For the first quarter of 2026, subscription revenues are projected between \$3.65 billion and \$3.67 billion, suggesting year-over-year growth of 21.5% on a GAAP basis and in the 18.5% to 19% on a cc basis. Moveworks is expected to contribute 1% to revenues. However, NOW faced challenges from the U.S. government shutdown and temporary gross margin headwinds due to data center investments and a shift to hyperscaler offerings. Shares have underperformed the industry in the trailing six-month.

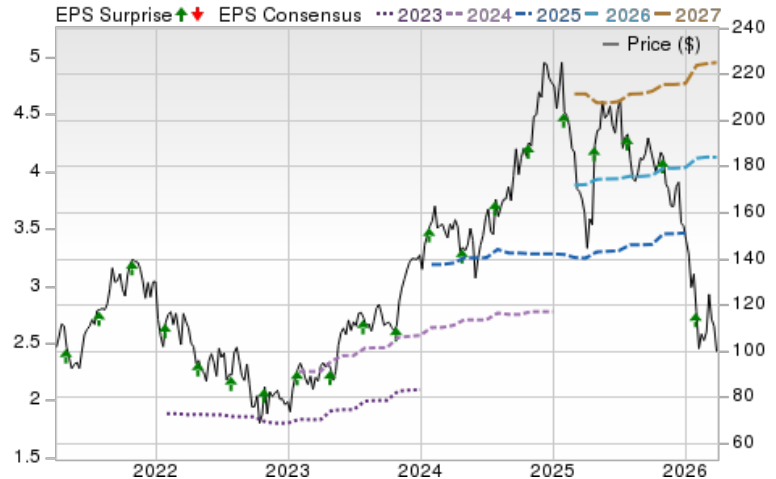
Data Overview

52 Week High-Low	\$211.48 - \$98.34
20 Day Average Volume (sh)	16,641,021
Market Cap	\$104.0 B
YTD Price Change	-35.1%
Beta	0.99
Dividend / Div Yld	\$0.00 / 0.0%
Industry	Computers - IT Services
Zacks Industry Rank	Top 32% (79 out of 244)

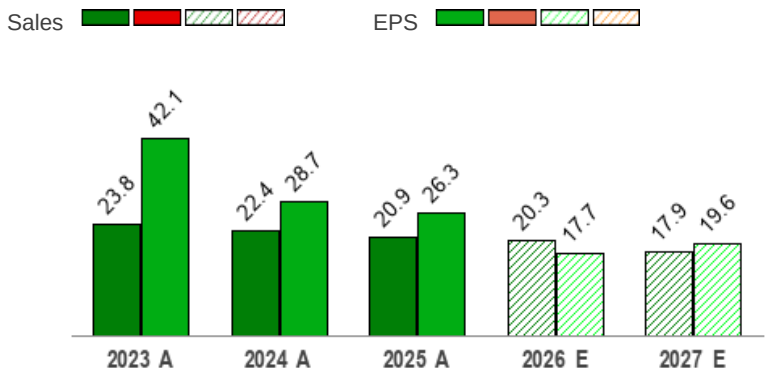
Last EPS Surprise	5.8%
Last Sales Surprise	1.2%
EPS F1 Est- 4 week change	0.0%
Expected Report Date	04/22/2026
Earnings ESP	0.0%

P/E TTM	28.3
P/E F1	24.1
PEG F1	0.3
P/S TTM	7.8

Price, Consensus & Surprise⁽¹⁾



Sales and EPS Growth Rates (Y/Y %)⁽¹⁾



Sales Estimates (millions of \$)⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027	4,419 E	4,557 E	4,814 E	5,034 E	18,842 E
2026	3,748 E	3,865 E	4,090 E	4,282 E	15,975 E
2025	3,088 A	3,215 A	3,407 A	3,568 A	13,278 A

EPS Estimates⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027	1.13 E	1.14 E	1.31 E	1.34 E	4.94 E
2026	0.95 E	0.93 E	1.08 E	1.12 E	4.13 E
2025	0.81 A	0.82 A	0.96 A	0.92 A	3.51 A

*Quarterly figures may not add up to annual.

(1) The data in the charts and tables, including the Zacks Consensus EPS and sales estimates, is as of 03/27/2026.

(2) The report's text and the price target are as of 03/06/2026.

Overview

ServiceNow's cloud-based solution — the Now Platform — enables enterprises to digitize workflows. The platform is used by more than 85% of the Fortune 500 and nearly 60% of the Global 2000 enterprises.

The workflow applications built on the Now Platform are organized into four primary areas: Technology, Customer and Industry, Employee and Creator.

Technology Workflows help IT departments plan, build, operate and service the IT needs of the enterprise. ServiceNow offers Asset Management, Integrated Risk Management, IT Operations Management (ITOM), IT Service Management (ITSM), Operational Technology Management, Security Operations, and Strategic Portfolio Management.

Santa Clara, CA-based ServiceNow's Customer and Industry Workflows help organizations offer better customer experiences through personalized self-service. The Workflows comprise Customer Service Management and Field Service Management solutions.

Employee Workflows help customers simplify how their employees access the services they need. Creator Workflows enable customers to automate processes by quickly creating their own custom workflows on the Now Platform.

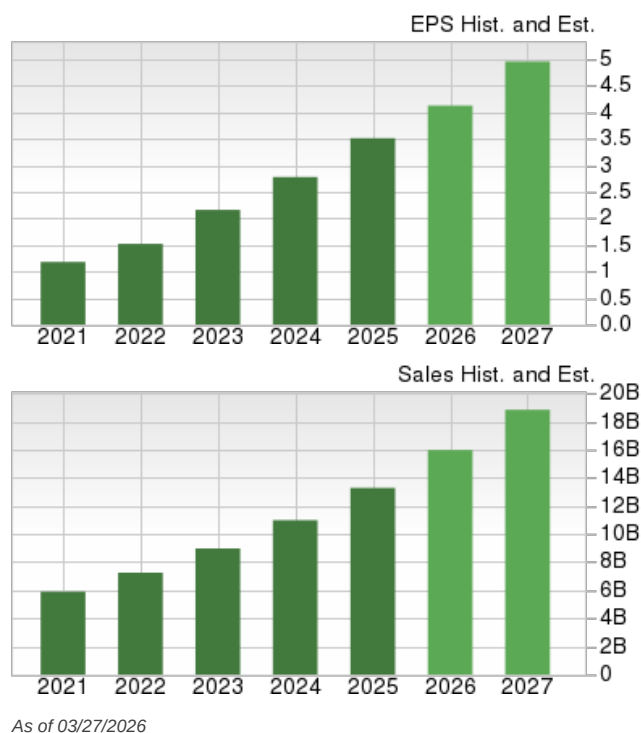
The Now Platform has embedded Now Assist, ServiceNow's Artificial Intelligence (AI) solution, available for certain products at an additional cost, which helps to enhance user productivity and efficiency. Agentic AI is available to ServiceNow's customers as a Now Assist feature.

ServiceNow's end markets are quite varied, which include financial services, healthcare and life sciences, manufacturing, public sector, retail, technology and telecom.

In 2025, total revenues came in at \$13.278 billion. ServiceNow derives revenues from two sources: subscriptions (97% of 2025 revenues) and professional services and other (3% of 2025 revenues).

Subscription revenues comprise Digital workflow products (88.5% of subscription revenues) and ITOM products (11.5% of subscription revenues).

North America, Europe, the Middle East and Africa (EMEA), and Asia Pacific & Other contributed approximately 63%, 21.7% and 11.3% of revenues, respectively in 2024.



Reasons To Buy:

- ▲ ServiceNow is extensively leveraging AI and machine learning technologies to boost the potency of its solutions. The company's expanding Generative AI (GenAI) capabilities are noteworthy, as its total addressable market is expected to hit \$275 billion in 2026. NOW's strategy of upgrading the platform twice a year helps in simplifying customers' workflow and productivity. ServiceNow's latest update, Yokohama, introduces AI agent innovations, connected data, and automated workflows on a single platform. The Yokohama update focuses on automation, governance and workflow intelligence to help businesses manage operational complexity. It includes AI-powered capabilities such as AI Agent Studio for creating and editing AI agents and Agentic AI that enables AI agents to handle tasks independently with reduced human oversight. The release extends AI capabilities across enterprise functions with features like voice input, data controls and workflow integration.
- ▲ A strong and frequently updated portfolio is helping ServiceNow win customers on a regular basis. Exiting the fourth quarter of 2025, ServiceNow had 244 transactions of more than \$1 million in net new annual contract value (ACV) in the fourth quarter of 2025, representing nearly 40% year-over-year growth. ServiceNow ended the reported quarter with 603 customers with more than \$5 million in ACV, representing approximately 20% year-over-year growth.
- ▲ ServiceNow's rich partner base, which includes the likes of Amazon, Microsoft, NVIDIA, Five9, Visa, Snowflake, Zoom, Siemens, Rimini Street, IBM, Genesys, Fujitsu, Equinix, Boomi and Infosys, is a key catalyst for future prospects. This, along with strategic acquisitions like Cuein, is helping it to expand Gen AI and Agentic AI footprint.
- ▲ ServiceNow has a strong balance sheet with an ample liquidity position. As of Dec. 31, 2025, NOW had cash and cash equivalents and short-term investments of \$6.28 billion. Long-term investments were \$3.77 billion as of Dec. 31, 2025. Strong liquidity reflects that the company is making investments in the right direction. Moreover, the cash is available for pursuing strategic acquisitions, investment in growth initiatives, and distribution to shareholders.

ServiceNow benefits from an expanding GenAI portfolio, expanding clientele, and a rich partner base, which has been driving top-line growth.

Reasons To Sell:

- ▼ ServiceNow faces stiff competition from the likes of Oracle and Salesforce.com. The company's strategy to accelerate the adoption of its Agentic AI by foregoing immediate revenues is expected to negatively impact the subscription revenue growth rate in 2025.
- ▼ ServiceNow generates a significant portion of revenues from the international market. ServiceNow remains cautious in its full-year outlook due to ongoing macroeconomic challenges, including elevated tariffs, inflationary pressure and geopolitical uncertainty.
- ▼ The company is trading at a premium in terms of price/sales (P/S). ServiceNow currently has a trailing 12-month P/S of 15.24X. This level compares unfavorably with what the industry witnessed in the prior year. Consequently, the valuation looks stretched from P/S perspective.

Stiff competition, challenging macroeconomic condition and stretched valuation are key concerns.

Last Earnings Report

NOW Q4 Earnings Beat Estimates, Revenues Rise Y/Y

ServiceNow reported fourth-quarter 2025 adjusted earnings of 92 cents per share, which beat the Zacks Consensus Estimate by 5.75% and increased 26% year over year.

Revenues of \$3.57 billion beat the consensus mark by 1.25% and increased 20.7% year over year. At constant currency (cc), revenues increased 19.5% year over year to \$3.51 billion.

NOW's Q4 Top-Line Details

Subscription revenues improved 20.9% year over year, on a reported basis, to \$3.47 billion. On a cc basis, revenues increased 19.5% to \$3.41 billion. Professional services and other revenues increased 12.1% year over year on a reported basis to \$102 million and 11% on a cc basis to \$101 million.

At the end of the fourth quarter, the current remaining performance obligations (cRPO) were \$12.85 billion, up 25% year over year on a reported basis and 21% on a cc basis. Remaining performance obligations, on a cc basis, rose 22.5% year over year to \$28.2 billion.

Expanding Clientele Aids NOW's Top-Line Growth

The company had 244 transactions of more than \$1 million in net new annual contract value (ACV) in the fourth quarter of 2025, representing nearly 40% year-over-year growth. ServiceNow ended the reported quarter with 603 customers with more than \$5 million in ACV, representing approximately 20% year-over-year growth.

NOW's quarterly results benefited from the strong traction of its AI-powered products like Now Assist, Workflow Data Fabric, Raptor and CPQ. RaptorDB Pro more than tripled net new ACV (NNACV) year over year in the fourth quarter of 2025, including 13 one-million-plus deals. Workflow Data Fabric was in 16 of NOW's top 20 fourth-quarter deals, and the company has seen attach rates increase in every quarter of 2025. Overall, the number of workflows and the number of transactions each grew more than 33%, from \$60 billion to \$80 billion and from \$4.8 trillion to \$6.4 trillion, respectively.

ServiceNow saw 244 deals greater than \$1 million in NNACV and had 7 deals greater than \$10 million in NNACV. CRM NNACV growth accelerated sequentially to close its largest quarter in history. ServiceNow's AI platform is gaining traction, with monthly active users growing 25%. Now Assist NNACV outperformed expectations in the reported quarter and surpassed \$600 million in ACV. Now Assist NNACV more than doubled year over year and had 35 deals over \$1 million in the reported quarter. AI Control Tower deal volume nearly tripled sequentially.

NOW's Operating Details

In the fourth quarter of 2025, non-GAAP gross margin was 80.3%, down 160 basis points (bps) on a year-over-year basis. Subscription gross margin was 82.7%, contracted 160 bps year over year. Professional services and other gross loss were \$2 million against gross income of \$7 million reported in the year-ago quarter.

As a percentage of revenues, operating expenses decreased 180 bps on a year-over-year basis to 64.2%.

ServiceNow's non-GAAP operating margin expanded 140 bps on a year-over-year basis to 30.9%.

NOW's Balance Sheet & Cash Flow

As of Dec. 31, 2025, NOW had cash and cash equivalents and marketable securities of \$6.28 billion compared with \$5.41 billion as of Sept. 30, 2025.

During the reported quarter, cash from operations was \$2.24 billion compared with \$813 million in the previous quarter.

ServiceNow generated a free cash flow of \$2.03 billion in the reported quarter, up from \$592 million reported in the prior quarter. Free cash flow margin was 57% compared with 47.5% in the year-ago quarter.

NOW repurchased 3.6 million shares in the fourth quarter of 2025. The company announced a new share repurchase authorization worth \$5 billion and plans to launch a \$2 billion accelerated share repurchase program.

NOW's Offers Positive 2026 Guidance

For 2026, NOW expects subscription revenues to be \$15.53-\$15.57 billion, which suggests a rise between 20.5% and 21% from 2025 on a GAAP basis and between 19.5% and 20% on a cc basis. The guidance includes 1% contribution from Moveworks.

ServiceNow expects the non-GAAP subscription gross margin to be 82% and the non-GAAP operating margin to be 32%. Moreover, the free cash flow margin is expected to be 36%, up 100 bps year over year.

For the first quarter of 2026, subscription revenues are projected between \$3.65 billion and \$3.67 billion, suggesting year-over-year growth of 21.5% on a GAAP basis and in the 18.5% to 19% on a cc basis. This includes approximately 150 bps headwind from a mix shift of self-hosted revenues to hosted revenues, partially driven by strong adoption of NOW's hyperscaler offerings. Moveworks is expected to contribute 1% to revenues.

FY Quarter Ending 12/31/2025

Earnings Reporting Date	Jan 28, 2026
Sales Surprise	1.24%
EPS Surprise	5.75%
Quarterly EPS	0.92
Annual EPS (TTM)	3.51

ServiceNow expects the non-GAAP operating margin to be 31.5% in the current quarter, with cRPO growth projected at 22.5% on a GAAP basis and 20% on a cc basis.

Recent News

2026

On March 5, ServiceNow unveiled new trusted AI solutions for the public sector, including EmployeeWorks and Autonomous Workforce, combining Moveworks conversational AI with its platform to help government agencies automate workflows and deliver mission-critical outcomes.

On March 1, ServiceNow announced a joint initiative with NTT DOCOMO and StarHub to develop an AI-powered operational model on the ServiceNow AI Platform that autonomously detects and resolves international roaming issues across carriers, aiming to improve connectivity and service reliability for global travelers.

On Feb 26, ServiceNow launched Autonomous Workforce and EmployeeWorks. These new offerings combine Moveworks' conversational AI with its unified and governed workflow platform. This allows AI specialists to autonomously handle enterprise jobs end-to-end with speed, security, and auditability.

On Feb 25, ServiceNow announced that Moveworks achieved FedRAMP Moderate Authorization, enabling federal agencies to securely deploy its AI Assistant via Moveworks GovCloud on AWS GovCloud (US) to automate workflows and enhance operational efficiency across government systems.

On Jan 28, ServiceNow announced a collaboration with Anthropic to embed Claude as the default AI model across core ServiceNow workflows, powering agentic app development, accelerating customer deployments, and boosting internal productivity with governed, enterprise-grade AI.

ServiceNow announced an expanded strategic commitment with Fiserv to accelerate AI-driven transformation in financial services by scaling Now Assist for FSO and ITSM to enhance resiliency, efficiency, and customer service operations.

ServiceNow announced an expanded partnership with Panasonic Avionics to replace siloed legacy systems with its AI-powered CRM, Now Assist, and integrated billing and marketing solutions, unifying sales, service, marketing, and billing for more than 300 airlines worldwide.

On Jan 20, ServiceNow announced an enhanced strategic collaboration with OpenAI to deliver agentic AI experiences, including speech-to-speech agents and advanced automation powered by frontier models like GPT-5.2, accelerating secure, scalable enterprise AI outcomes.

On Jan 5, ServiceNow announced the appointment Hossein Nowbar as President and Chief Legal Officer (CLO).

2025

On Dec. 23, ServiceNow announced the acquisition of Armis for \$7.75 billion.

On Dec. 15, ServiceNow announced that it has completed the acquisition of Moveworks.

On Dec. 2, ServiceNow announced its plan to buy Veza, a leader in identity security.

On Nov. 18, ServiceNow announced expanded integrations with Microsoft, including a new one with Microsoft Agent 365 targeted at providing seamless, enterprise-grade orchestration, governance, and collaboration across AI agents and workflows. The expanded partnership connects ServiceNow's AI Platform with Microsoft 365, Copilot, Foundry and GitHub. These integrations will help enterprises manage autonomous AI agents with unified controls, consistent policies, and end-to-end visibility.

On Nov. 6, ServiceNow and Figma announced a strategic collaboration to turn design vision into enterprise transformation. The companies have integrated Figma's design and product development platform with ServiceNow's AI-enabled workflow automation platform, rapidly turning product designs into enterprise applications.

On Nov. 5, ServiceNow and NTT DATA, announced an expanded strategic partnership to accelerate AI-led transformation for enterprises. The companies will execute joint go-to-market and delivery commitments, including co-developing and co-selling AI-powered solutions to help organizations to transform the way work gets done.

On Oct. 28, ServiceNow announced an expanded partnership with NVIDIA to unite intelligent workflows and open models to scale trusted AI across industries.

On Oct. 27, ServiceNow and Dynatrace announced a multi-year strategic collaboration to advance autonomous IT operations and scale intelligent automation for joint enterprise customers.

On Oct. 15, ServiceNow announced the activation of NVIDIA AI infrastructure in its UK data centres, in London and Newport.

On Sept. 30, ServiceNow announced AI Experience, a unified, conversational front door to enterprise AI.

Valuation

ServiceNow shares are down 34.6% in the past six-month period and 27.7% over the trailing 12-month period. Stocks in the Zacks sub-industry are down 17.4%, whereas the Zacks Computer & Technology sector is up 5.6% in the past six-month period. Over the past year, the Zacks sub-industry has been down 22.8% while the sector has been up 30%.

The S&P 500 index is up 6.3% in the past six-month period and 21.1% in the past year.

The stock is currently trading at 7.64X forward 12-month sales, which compares to 13.56X for the Zacks sub-industry, 6.2X for the Zacks sector, and 5.12X for the S&P 500 index.

Over the past five years, the stock has traded as high as 21.28X and as low as 6.43X, with a 5-year median of 13.04X. Our Neutral recommendation indicates that the stock will perform in line with the market. Our \$126 price target reflects 8.02X forward 12-month sales.

The table below shows summary valuation data for NOW

Valuation Multiples - NOW					
		Stock	Sub-Industry	Sector	S&P 500
P/S F12M	Current	7.64	13.56	6.2	5.12
	5-Year High	21.28	22.20	7.41	5.63
	5-Year Low	6.43	12.44	4.33	3.82
	5-Year Median	13.04	16.98	6.34	5.07
P/B TTM	Current	9.71	19.31	10.37	8.29
	5-Year High	41.05	35.93	11.77	9.15
	5-Year Low	8.12	18.16	6.64	6.59
	5-Year Median	19.85	26.42	9.86	8.11
EV/Sales TTM	Current	9.12	13.51	7.34	5.57
	5-Year High	25.71	25.83	8.42	5.83
	5-Year Low	7.56	13.49	4.23	3.76
	5-Year Median	15.76	17.65	6.9	5.11

As of 3/05/2026

Source: Zacks Investment Research

Industry Analysis⁽¹⁾ Zacks Industry Rank: Top 32% (79 out of 244)



Top Peers⁽¹⁾

Company (Ticker)	Rec	Rank
Vertiv Holdings Co. (VRT)	Outperform	2
ASGN Incorporated (ASGN)	Neutral	3
Cognizant Technology...(CTSH)	Neutral	3
Amdocs Limited (DOX)	Neutral	3
EPAM Systems, Inc. (EPAM)	Neutral	3
Fair Isaac Corporati...(FICO)	Neutral	3
Microsoft Corporatio...(MSFT)	Neutral	3
Science Applications...(SAIC)	Neutral	3

Industry Comparison⁽¹⁾ Industry: Computers - It Services

	NOW	X Industry	S&P 500	ASGN	DOX	VRT
Zacks Recommendation (Long Term)	Neutral	-	-	Neutral	Neutral	Outperform
Zacks Rank (Short Term)	3	-	-	3	3	2
VGM Score	B	-	-	A	A	C
Market Cap	103.98 B	1.50 B	39.25 B	1.55 B	6.94 B	96.06 B
# of Analysts	19	4	22	1	4	8
Dividend Yield	0.00%	0.00%	1.51%	0.00%	3.28%	0.10%
Value Score	D	-	-	A	A	F
Cash/Price	0.06	0.18	0.04	0.10	0.04	0.02
EV/EBITDA	27.40	7.46	13.50	7.44	8.06	45.33
PEG Ratio	0.28	1.09	1.76	NA	1.02	1.27
Price/Book (P/B)	8.02	2.01	3.31	0.89	2.00	24.37
Price/Cash Flow (P/CF)	30.47	11.69	13.82	5.14	8.21	49.14
P/E (F1)	24.07	12.38	17.91	7.47	8.65	40.83
Price/Sales (P/S)	7.83	1.47	3.04	0.39	1.52	9.39
Earnings Yield	4.15%	7.25%	5.57%	13.39%	11.57%	2.45%
Debt/Equity	0.12	0.05	0.56	0.65	0.23	0.73
Cash Flow (\$/share)	3.26	0.94	9.58	7.31	7.83	5.11
Growth Score	A	-	-	C	B	A
Hist. EPS Growth (3-5 yrs)	64.70%	5.33%	7.41%	-3.19%	8.39%	54.21%
Proj. EPS Growth (F1/F0)	17.66%	10.28%	9.95%	10.55%	6.44%	46.43%
Curr. Cash Flow Growth	30.30%	7.95%	7.96%	-6.84%	2.70%	41.02%
Hist. Cash Flow Growth (3-5 yrs)	33.78%	8.49%	8.87%	-2.06%	3.05%	31.51%
Current Ratio	1.00	1.63	1.19	2.16	1.06	1.55
Debt/Capital	10.31%	14.13%	37.99%	39.33%	18.46%	42.32%
Net Margin	13.16%	2.70%	12.63%	2.85%	12.47%	13.03%
Return on Equity	18.54%	10.31%	17.16%	10.94%	20.19%	49.55%
Sales/Assets	0.58	0.90	0.53	1.08	0.73	0.95
Proj. Sales Growth (F1/F0)	20.30%	5.87%	5.59%	1.40%	3.70%	33.80%
Momentum Score	B	-	-	D	D	D
Daily Price Chg	-4.08%	-2.94%	-1.67%	-5.86%	-2.20%	-0.53%
1 Week Price Chg	-9.94%	-3.57%	-2.12%	4.10%	-0.79%	-1.88%
4 Week Price Chg	-7.96%	-6.79%	-7.41%	-12.45%	-7.85%	-1.50%
12 Week Price Chg	-32.58%	-25.45%	-7.14%	-19.50%	-19.76%	42.97%
52 Week Price Chg	-37.69%	-29.39%	14.12%	-40.40%	-29.28%	238.14%
20 Day Average Volume	16,641,021	727,143	3,198,579	1,122,225	1,229,440	11,585,777
(F1) EPS Est 1 week change	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
(F1) EPS Est 4 week change	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
(F1) EPS Est 12 week change	4.42%	0.00%	0.50%	0.10%	0.50%	18.04%
(Q1) EPS Est Mthly Chg	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%

Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons: Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

Zacks Recommendation

The Zacks Recommendation aims to predict performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook. The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike many Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations. Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

Zacks Style Scores

The Zacks Style Score is as a complementary indicator to the Zacks rating system, giving investors a way to focus on the highest rated stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

Value Score	D
Growth Score	A
Momentum Score	B
VGM Score	B

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

Disclosures

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